Relationship Summary: Broker-Dealer

December 12, 2025

What you should consider when choosing a brokerage relationship at Schwab.

Charles Schwab & Co., Inc. ("Schwab," "we," or "us") is a broker-dealer registered with the Securities and Exchange Commission (SEC). The summary below highlights the nature of the brokerage relationship with our clients. Schwab is also an investment adviser registered with the SEC and is a member of the Financial Industry Regulatory Authority (FINRA) and the Securities Investor Protection Corporation (SIPC). Our brokerage and investment advisory services and fees differ, and we believe it is important for you to understand those differences. To compare, see a summary of Schwab's investment advisory relationships at **schwab.com/relationship-summary-ia**. For more general information about different financial professionals and investing, including free and simple tools to research firms and their representatives, visit the SEC's website at **www.Investor.gov/CRS**.

We hope you will take the time to read this information and ask questions. We welcome them.

What investment services and advice can you provide me?

We offer a wide range of investment products with no account minimums for most domestic accounts. Our offerings include both affiliated products that are managed by Schwab and unaffiliated investment products that are managed by independent third parties.

- We offer investment and account recommendations if you would like advice.
- We will give you advice that is a one-on-one recommendation and specific to you and your situation at that time. As such, a recommendation only applies at the point in time when we provide it to you.
- The decision to invest will always be yours—we will not place any trades on your behalf without your direction. We do not manage or monitor your brokerage accounts.
- We also provide Schwab research and other market data, but this type of information will never be a recommendation for you specifically.

For more information about our services, go to schwab.com/transparency and read our Best Interest Disclosure.

Questions to Ask

- Given my financial situation, should I choose an investment advisory service?
- Should I choose a brokerage service?
- Should I choose both types of services? Why or why not?
- How will you choose investments to recommend to me?
- What is your relevant experience, including your licenses, education, and other qualifications?
- What do these qualifications mean?

What fees will I pay?

If you place a trade, you will pay a commission or transaction fee in some cases. There can also be expenses built into the trade price or the investment itself.

- The fee you pay is the same whether we recommend an investment to you or not. We earn money from third parties and affiliates on certain products, including cash, mutual funds, and exchange-traded funds (ETFs) held in your account(s), so we have an incentive to encourage investment in those products.
- You may also pay account- or transaction-related fees.
- *You will pay fees and costs whether you make or lose money on your investments. Fees and costs will reduce any amount of money you make on your investments over time. Please make sure you understand what fees and costs you are paying.*

To see more information about our fees, go to schwab.com/transparency and read our Best Interest Disclosure or go to schwab.com/pricing-guide.

Questions to Ask

- Can you help me understand how these fees and costs might affect my investments?
- If I give you $10,000 to invest, how much will go to fees and costs, and how much will be invested for me?

What are your legal obligations to me when providing recommendations? How else does your firm make money, and what conflicts of interest do you have?

All recommendations for your brokerage account will be made in a broker-dealer capacity unless otherwise expressly stated. When we provide you with a recommendation, we have to act in your best interest and not put our interest ahead of yours. At the same time, the way we make money creates some conflicts with your interests.

You should understand and ask us about these conflicts because they can affect the recommendations we provide you. Here are some examples to help you understand what this means. We and our affiliates earn money from:

- Shareholder service fees paid to us by third-party fund providers and affiliated mutual funds, and management fees paid to our affiliate adviser by affiliated mutual funds and ETFs, that are based off the shares which are held in your account(s).
- The "spread" on cash in your accounts—i.e., the difference between what we earn and what we pay you in interest.
- Dealer concessions or transaction fees when trading as principal in your accounts.
- Commissions or trail commissions paid to us by insurance companies when you purchase an annuity or other insurance products.
- Order routing revenue from third-party broker-dealers and exchanges when you place trades and we route your order to the centers.

For more information about our conflicts and our capacity when we provide investment recommendations for retirement accounts, read our Limitations and Conflicts Disclosure found here: schwab.com/transparency/limitations-conflicts. For more information about order routing, go to schwab.com/execution-quality/order-routing-process.

Question to Ask

- How might your conflicts of interest affect me, and how will you address them?

How do your financial professionals make money?

Our representatives receive cash payments based on the amount of assets you have with us and the time, complexity, and expertise required to help you with any of our services; specifically, they receive compensation to navigate you to our investment advisory services and service your accounts once enrolled in such services. They earn more for recommending certain services over others, but what they earn is not directly based on the revenue the firm earns.

For more information on how we pay our representatives, go to schwab.com/representative-compensation.

Do you or your financial professionals have legal or disciplinary history?

Yes.

For free and simple tools to research our firm and representatives, visit www.Investor.gov/CRS.

Questions to Ask

- As a financial professional, do you have any disciplinary history?
- For what type of conduct?

Where can I find additional information?

For additional information about our investment advisory or brokerage services, go to schwab.com/transparency. To request a copy of this relationship summary, call 800-435-4000.

Questions to Ask

- Who is my primary contact person?
- Are they a representative of an investment adviser or a broker-dealer?
- Who can I talk to if I have concerns about how this person is treating me?

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Relationship Summary: Investment Advisory

March 31, 2026

What you should consider when choosing an investment advisory relationship at Schwab.

Charles Schwab & Co., Inc. ("Schwab," "we," or "us") is an investment adviser registered with the Securities and Exchange Commission (SEC). The summary below highlights the nature of investment advisory relationships with our clients. Schwab is also a broker-dealer registered with the SEC and is a member of the Financial Industry Regulatory Authority (FINRA) and the Securities Investor Protection Corporation (SIPC). Our brokerage and investment advisory services and fees differ, and we believe it is important for you to understand those differences. To compare, see a summary of Schwab's brokerage relationship at **schwab.com/relationship-summary-bd**. For more general information about different financial professionals and investing, including free and simple tools to research firms and their representatives, visit the SEC's website at **www.Investor.gov/CRS**.

We hope you will take the time to read this information and ask questions. We welcome them.

What investment services and advice can you provide me?

We sponsor several investment advisory programs that provide different services, feature different investments, have different account minimums and fees, and offer varying levels of account monitoring. Our affiliates participate in some of these programs as discretionary portfolio managers, which grants the affiliate authority to buy and sell securities in your account(s) without your prior consent, or non-discretionary portfolio managers, where you make all of the trade decisions in your account(s).

- For automated advice from a robo-adviser, where our affiliated investment adviser, Charles Schwab Investment Management, Inc. (CSIM), monitors and makes the investment decisions for you: Schwab Intelligent Portfolios® ($5,000 minimum).
- For advice from our affiliate investment adviser, CSIM, or unaffiliated advisers where the advisers monitor and make the investment decisions for you: Schwab Managed Account Services™ (minimums begin at $100,000).
- For accounts managed by CSIM using a particular investment strategy, where the adviser monitors and makes the investment decisions for you: Schwab Managed Portfolios™ ($25,000 minimum).
- For complex or specialized needs, a referral to an unaffiliated professional adviser: Schwab Advisor Network® ($2,000,000 minimum).
- For advice and periodic portfolio reviews from a team of professionals at our affiliated investment adviser, Schwab Wealth Advisory, Inc. (SWAI), where you make the investment decisions: Schwab Wealth Advisory™ ($500,000 minimum).
- For individualized planning advice in a written financial plan with no monitoring: Schwab Financial Planning Services.

To learn more about specific services for each program, go to schwab.com/advisory to access the relevant sections of each program disclosure brochure: (1) Advisory Business; Types of Clients; or (2) Services, Fees and Compensation; Account Requirements and Types of Clients.

Questions to Ask

- Given my financial situation, should I choose an investment advisory service?
- Should I choose a brokerage service?
- Should I choose both types of services? Why or why not?
- How will you choose investments to recommend to me?
- What is your relevant experience, including your licenses, education, and other qualifications?
- What do these qualifications mean?

What fees will I pay?

We charge a fee for some, but not all, of our investment advisory services, including asset-based fees and fixed one-time and recurring fees. Some of these fees may be negotiable.

- Our asset-based or wrap fees are calculated based on the amount of assets in your account and usually billed on a quarterly basis. These fees include most transaction costs, and could be higher than fees charged for investment advisory services that do not include such costs. There are other fees that will apply to your account, such as mutual fund and exchange-traded fund (ETF) operating expenses (including management fees paid to CSIM for funds managed by them), costs for trades executed at a firm other than Schwab, and account services fees.
- The more assets in your accounts, the more money Schwab and its affiliates earn, so we have an incentive to encourage you to invest more assets. We earn money from third parties or affiliates on certain products, including cash, mutual funds, and ETFs held in your accounts, so we have an incentive to encourage such investments.
- You will pay fees and costs whether you make or lose money on your investments. Fees and costs will reduce any amount of money you make on your investments over time. Please make sure you understand what fees and costs you are paying.
- You will be charged interest on the amount borrowed through margin loans and securities-based loans.

To learn more about specific fees for each program, go to schwab.com/advisory to access the relevant sections of each program disclosure brochure: (1) Fees and Compensation; or (2) Services, Fees and Compensation.

Questions to Ask

- Can you help me understand how these fees and costs might affect my investments?
- If I give you $10,000 to invest, how much will go to fees and costs, and how much will be invested for me?

What are your legal obligations to me when acting as my investment adviser? How else does your firm make money, and what conflicts of interest do you have?

All recommendations regarding your advisory account will be in an adviser capacity. When we, CSIM, or SWAI act as your investment adviser, we have to act in your best interest and not put our interest ahead of yours. At the same time, the way we make money creates some conflicts with your interests.

You should understand and ask us about these conflicts because they can affect the recommendations we provide you. Here are some

examples to help you understand what this means. We and our affiliates earn money from:

- Shareholder service fees paid to us by third-party fund providers and affiliated mutual funds, and management fees paid to CSIM by affiliated mutual funds and ETFs, that are based off the shares which are held in your accounts.
- The "spread" on cash in your accounts—i.e., the difference between what we earn and what we pay you in interest.
- Fees from third-party advisers participating in our referral service.
- Other compensation and conflicts that are specific to the different programs.

To learn more about specific conflicts for each program, go to schwab.com/advisory to access the relevant sections of each program disclosure brochure: Other Financial Industry Activities and Affiliations; Code of Ethics, Participation or Interest in Client Transactions and Personal Trading.

Question to Ask

- How might your conflicts of interest affect me, and how will you address them?

How do your financial professionals make money?

Our representatives include branch-based Financial Consultants and phone-based representatives who help you select the program or service that best meets your needs. They receive cash payments based on factors like the amount of assets you have with us and the time, complexity, and experience required to help you with any of the services we provide; specifically, they receive compensation to navigate you to our investment advisory services and service your accounts once enrolled in such services. They do earn more for recommending certain services over others, but what they earn is not directly based on the revenue the firm earns.

CSIM Portfolio Managers and SWAI Wealth Advisors receive a fixed base salary and may earn a discretionary bonus based on the financial performance of The Charles Schwab Corporation (CSC). They may also have the potential to participate in discretionary equity awards. For certain CSIM Portfolio Managers, their discretionary bonus is funded on the financial performance of CSC, their strategy's performance results, their strategies' asset growth or a combination of the above.

For more information on how we pay our representatives, go to schwab.com/representative-compensation.

Do you or your financial professionals have legal or disciplinary history?

Yes.

For free and simple tools to research our firm and representatives, visit www.Investor.gov/CRS.

Questions to Ask

- As a financial professional, do you have any disciplinary history?
- For what type of conduct?

Where can I find additional information?

For additional information about our investment advisory or brokerage services, go to schwab.com/transparency. To request a copy of this relationship summary, call 800-435-4000.

Questions to Ask

- Who is my primary contact person?
- Are they a representative of an investment adviser or a broker-dealer?
- Who can I talk to if I have concerns about how this person is treating me?

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June 30, 2026

Charles Schwab & Co., Inc.
Schwab Intelligent Portfolios
Disclosure Brochure

Charles Schwab & Co., Inc. Disclosure Brochure for the Schwab Intelligent Portfolios Wrap Fee Program

Charles Schwab & Co., Inc.
425 Market St, 17th Floor
San Francisco, CA 94105
Tel: 1-855-694-5208
schwab.com/intelligent-portfolios

This wrap fee program brochure provides information about the qualifications and business practices of Charles Schwab & Co., Inc. ("CS&Co."). If you have any questions about the contents of this brochure, please contact us at 1-855-694-5208. The information in this brochure has not been approved or verified by the United States Securities and Exchange Commission ("SEC") or by any state securities authority. CS&Co.'s description of itself in this brochure as a Registered Investment Adviser does not imply a certain level of skill or training on the part of CS&Co. or its representatives.

Additional information about CS&Co. is also available on the SEC's website at www.adviserinfo.sec.gov.

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Introduction

Charles Schwab & Co., Inc. ("CS&Co." or "we") is a dual registrant investment adviser and broker-dealer. CS&Co. is registered as an investment adviser with the Securities and Exchange Commission ("SEC") under the Investment Advisers Act of 1940 ("Advisers Act"). CS&Co. is registered as a broker-dealer with the SEC under the Securities Exchange Act of 1934 and is a member of the Financial Industry Regulatory Authority ("FINRA") and the Securities Investor Protection Corporation ("SIPC").

CS&Co. is organized as a California corporation and was formed in 1971. CS&Co. is an indirect, wholly owned subsidiary of The Charles Schwab Corporation ("CSC"), a Delaware corporation that is publicly traded and listed on the New York Stock Exchange (symbol: SCHW). CS&Co.'s principal place of business for its investment adviser is in San Francisco, California and the principal place of business for its broker-dealer is in Westlake, Texas.

CS&Co. sponsors other wrap fee programs and provides referral services described in separate disclosure brochures, which are available upon request.

Services, Fees, and Compensation

CS&Co. sponsors the advisory service Schwab Intelligent Portfolios® ("SIP", the "SIP Program" or "Program"). CS&Co. also sponsors other wrap fee programs, for which you can request a copy of their brochures. SIP is an automated discretionary investment advisory service that offers clients a diversified portfolio based on their stated investment objectives and risk tolerance.

Schwab Intelligent Portfolios

Schwab Intelligent Portfolios provides discretionary management through an automated investment advisory service. SIP portfolios consist of a diversified portfolio composed of exchange-traded funds ("ETFs"), as well as an FDIC-insured cash allocation (the "Cash Allocation") that is based on the client's stated investment objectives and risk tolerance. The Cash Allocation is held at Charles Schwab Bank, SSB ("Schwab Bank"). Certain conditions must be satisfied for FDIC insurance coverage to apply. CS&Co. and Charles Schwab Investment Management, Inc. ("CSIM") are not FDIC-insured banks and deposit insurance covers the failure of an insured bank. Non-deposit products are not insured by the FDIC, are not deposits and may lose value. The portfolio of ETFs could include asset classes across stocks, fixed income, real estate, and commodities. Modifications to the number and types of asset classes included can occur at any time without prior notice to clients. The SIP Program is designed to monitor a client's portfolio daily and to automatically rebalance as needed to keep a client's portfolio consistent with the selected risk profile, unless such rebalancing may not be in the best interest of clients.

The SIP Program is offered online through an interactive website and mobile application (collectively, the "Website"). Clients use the Website and answer questions from an online questionnaire that help to determine whether the client is appropriate for the SIP Program. The Website also presents a suggested SIP portfolio based on the client information for clients' review and approval. Prior to enrollment, clients are asked to carefully consider whether their participation in the SIP Program and whether their selected SIP portfolio are appropriate for their investment needs and goals. Once enrolled, SIP clients can update their investment profile or monitor their accounts' allocation, activity, and performance. Clients should periodically review their investment profile and update it as needed when their goals, risk tolerance, or other aspects of their financial situation change.

CSIM, doing business as Schwab Asset Management®, an affiliate of CS&Co., provides portfolio management services for SIP Program accounts on a discretionary basis consistent with each client's chosen investment strategy. CS&Co. acts as the qualified custodian for SIP Program accounts, providing trade execution and related services. CS&Co. also provides administration and related services for the SIP Program.

The SIP Program uses algorithms (the "Algorithms")—each algorithm is a set of rules embedded in a computer program. The various Algorithms in the SIP program (1) propose a portfolio based on a client's answers to the online questionnaire; (2) identify portfolio rebalancing opportunities; (3) identify tax-loss harvesting opportunities; and (4) initiate buy/sell orders for the tax-loss harvesting and/or rebalancing opportunities it has identified, as detailed below (collectively, the "Rebalancing Algorithms"). The Rebalancing Algorithms are designed to perform a daily review of client accounts and holdings to identify rebalancing and tax-loss harvesting opportunities as well as to initiate buy or sell orders when such opportunities exist; trade orders are then sent to CSIM for review prior to the trade(s) being released for execution. The Rebalancing Algorithms generally operate on a daily basis, but there are technological and other circumstances that sometimes prevent them from operating or that prevent the activities that the Rebalancing Algorithms are meant to identify or initiate.

The Rebalancing Algorithms include a wash sale avoidance feature, which will prevent rebalancing and tax loss harvesting transactions from occurring in certain circumstances. This can prevent rebalancing toward accounts' target allocation for 30 or more days, which can impact performance; it can also result in not utilizing all tax loss harvesting opportunities. Please see the "Wash Sale Avoidance" and the "Tax-Loss Harvesting Feature" sections for additional details.

Clients give investment discretion to CSIM to manage their account and make trades in their account, and CSIM can therefore initiate or halt trading at its discretion and for any reason, including halting trading under conditions when CSIM believes that continued trading may pose an undue risk of harm to accounts. As with similar automated services, clients will not be allowed to make trades in their account(s). Clients may request that certain ETFs be excluded from their account(s) but not all requested restrictions will be processed. Unreasonable restrictions requested including other security types, such as stocks, mutual funds or cash will not be honored. A request to exclude ETFs from a client's account may result in delays in the management of the account. The client will be notified if the account cannot be managed with the requested investment restrictions. Clients also may request that CSIM use a tax-loss harvesting strategy so that tax losses are generated to offset potential capital gains in their account, subject to meeting minimum balance requirements (currently $50,000 in a single SIP account, but is subject to change). Generally, it is not advisable for clients to use margin balances to deposit into the Program for investment. Accounts enrolled in the Program are not margin accounts and cannot be used as collateral for a margin loan.

Brokerage Practices

CS&Co. does not act as an investment adviser in the selection or recommendation of broker-dealers as part of the Program. Clients agree with CS&Co. in the Schwab Intelligent Portfolios Advisory Agreement that all brokerage transactions for their account will be executed by CS&Co. As a result, clients may not always obtain as favorable a price or execution as might have been available through another broker. Not all broker-dealers

or investment advisers require their clients to direct trades to a particular broker-dealer (also known as "directed brokerage"). For additional details regarding brokerage practices, please review the "Participation or Interest in Client Transactions" section as well as the "Directed Brokerage" section of the CSIM Disclosure Brochure.

Custody

CS&Co. has custody of assets in the SIP Program accounts and will provide an account statement, at least quarterly, for each account. The account statements detail account positions and activities during the preceding period. Clients should review their account statements carefully.

Investment Discretion

SIP clients receive discretionary portfolio management through SIP and a diversified portfolio of ETFs and Cash Allocation.

Electronic Delivery

During the enrollment process for the Program, clients agree that records and disclosures will be delivered electronically and that agreements will be signed electronically. This includes the disclosure brochures, supplements, and other documents relating to clients' accounts. Each client has an obligation to maintain an accurate and up-to-date email address and to ensure that he/she has the ability to read, download, print, and retain electronic documents. If a client is ever unable or unwilling to accept electronic delivery, the client's enrollment in the Program may be terminated at CS&Co.'s discretion. If a client's account is terminated for this reason, the client may be required to transfer the account assets to another account at CS&Co. or at another custodian, or to have the account assets be liquidated and the proceeds returned to the client.

Fees and Compensation

Schwab Intelligent Portfolios® Fees

The SIP Program includes the following services: (i) CS&Co.'s SIP Program administration services, as well as trade execution, custody, and related services; and (ii) CSIM's portfolio management services. Clients are not charged an annual SIP Program fee for these services. However, the SIP Program is not free of charge. Clients pay the operating expense ratios of ETFs used in the portfolios, including Schwab ETFs™, which affects the performance of SIP Program accounts. Account performance is also affected by the Cash Allocation and the Sweep Program. CS&Co., CSIM and their affiliates earn compensation from certain ETFs used in the portfolios and from the Cash Allocation and Sweep Program, as described elsewhere in this brochure in "Schwab Intelligent Portfolios Sweep Program," "Benefits to CS&Co. Affiliates," and "Conflicts of Interest and How They Are Addressed."

In programs similar to the SIP Program, clients might expect to pay an annual fee of 0.30% of client assets to reflect the value and cost of these services. While clients are not charged a SIP Program fee for services, due to retirement accounts in the SIP Program, for purposes of IRS rules, CS&Co. makes a nominal calculation that fully offsets in the amount of 0.30% of the compensation that it or its affiliates receive from ETF transactions in clients' accounts. This includes advisory fees for managing Schwab ETFs if CSIM selects them to include in SIP Program accounts. If this affiliate compensation ever exceeds 0.30% of client assets, CS&Co. would refund the additional amount to client accounts or use it to pay account administrative expenses. The result is that clients pay no annual SIP Program fee.

Additional Information Regarding Fees in the Program

There is no additional planning or advisory fee for the activation or use of the tax-loss harvesting feature. Clients do not pay brokerage commissions in the Program to CS&Co.

Each ETF, including a Schwab ETF, pays investment advisory, administrative, distribution, transfer agent, custodial, legal, audit, and other customary fees and expenses, as set forth in the ETF prospectus. An ETF pays these fees and expenses, which ultimately are borne by its shareholders. Therefore, CSIM will earn fees from Schwab ETFs that are held in accounts enrolled in the Program.

Clients may incur sales charges, redemption fees, and other costs, as well as tax consequences, if they redeem or make other transactions in ETFs, mutual funds, or other investments in order to fund accounts enrolled in the Program. To the extent that cash used by clients to fund their accounts comes from redemptions of mutual fund shares, ETFs, or other investments outside of the Program, there may be tax consequences or additional costs from sales charges previously paid and redemption fees incurred.

Pursuant to an agreement between CSIM and CS&Co., CS&Co. pays all costs and expenses incurred by CSIM in connection with the Program and with other research services provided by CSIM, plus an additional amount based on a fixed percentage of such costs and expenses. CSIM does not enter into agreements directly with clients in the Program and accordingly does not receive direct compensation from or negotiate fees with them.

CS&Co. provides administrative services to Schwab Bank in support of the operation of the Deposit Accounts; Schwab Bank will pay CS&Co. an annual per-account flat fee for these administrative services. This fee is more fully described in the Schwab Intelligent Portfolios Sweep Program Disclosure Statement.

The fees that clients pay directly and indirectly in the Program may be more or less than they would pay if they purchased separately the types of services in the Program. Clients may be able to obtain some or all of the types of services available through the Program on a standalone basis from other firms. Factors that bear upon the cost of the Program in relation to the cost of the same services purchased separately include, among other things, the type and size of the account (and other accounts that clients may be able to combine to determine fee breakpoints), the historical and expected size or number of trades for an account, types of investments and cash held in the account, and the number and range of supplementary advisory and other services provided to an account.

Compensation

Financial Consultant Compensation

Among CS&Co. investment professionals, branch-based and phone-based Financial Consultants ("FCs") are most often responsible for recommending the Program to clients like you. FCs may be CS&Co. employees or non-employee independent contractors who, with their own employees, operate Schwab Independent Branches pursuant to a franchise agreement with CS&Co. The FCs who operate Schwab Independent Branches are known as Independent Branch Leaders ("IBLs") or, if employed by such IBLs, Independent Branch ("IB") Representatives.

In addition to their base salaries, CS&Co. employee FCs receive compensation for successfully navigating clients to the Program and other investment advisory programs and for servicing those clients after enrollment in such programs. CS&Co. as a company may earn more or less revenue depending on what products and services a CS&Co. employee FC recommends and a client chooses. CS&Co. has designed CS&Co. employee FC compensation to be based on factors that include the time, complexity, and expertise necessary to understand and recommend a program and to provide ongoing service to a client enrolled in a given program. CS&Co. employee FCs' compensation does not vary depending on whether a client enrolls in the SIP Program. Based on these factors, amounts earned by CS&Co. employee FCs on assets enrolled in the Program exceed the amounts earned on assets in commission-based brokerage accounts.

As independent contractors, IBLs receive a monthly "Net Payout" from CS&Co., which includes amounts earned on assets in investment advisory programs like the Program and assets in commission-based brokerage accounts, and it is from this Net Payout amount that IBLs pay their IB Representative employees. As with CS&Co. employee FCs, the amounts earned by IBLs and IB Representatives vary by the type of program in which an account participates.

Compensation to Other Schwab Investment Professionals
Other CS&Co. employee investment professionals, such as New Client Investment Consultants and Investor Development Consultants, can also earn additional incentive compensation for referring clients to advisory services, including the Program. For detailed information on the compensation of these and other CS&Co. investment professionals, please see our website at **schwab.com/legal/compensation-advice/investment-professionals-compensation**.

FCs, New Client Investment Consultants, Investor Development Consultants, and other CS&Co. employee investment professionals are also eligible to earn an annual trip through Schwab Chairman's Club for success in bringing net new assets to CS&Co., regardless of whether those assets are enrolled in the SIP Program.

Benefits to CS&Co. Affiliates

CS&Co. affiliates earn revenue from the underlying assets in SIP Accounts.

This revenue comes from: (i) revenue earned by Schwab Bank on the Cash Allocation in the investment strategies; (ii) advisory fees received by CSIM from Schwab ETFs™ that CSIM selects to buy and hold in client accounts; and (iii) payments CS&Co. may receive from the market centers where it routes ETF trade orders for execution. More information about these revenues and their benefits to CS&Co. affiliates is set forth under the "Schwab Intelligent Portfolios Sweep Program," "Fees and Compensation," and "Participation or Interest in Client Transactions" sections.

Conflicts of Interest and How They Are Addressed

CS&Co. does not charge an advisory fee for the SIP Program in part because of the revenue Schwab Bank generates from the Cash Allocation (an indirect cost of the Program). As program sponsor, CS&Co. sets the Cash Allocation percentage for each of the investment strategies and considers among other factors the expected revenue Schwab Bank earns from the Sweep Program. This is a conflict of interest. Under certain market conditions, the Cash Allocation results in lower overall portfolio performance, for example when other riskier assets outperform cash.

As noted above, Schwab Bank earns income on the Cash Allocation in the Program. The Cash Allocation is placed in an FDIC-insured deposit account at Schwab Bank. Certain conditions must be satisfied for FDIC insurance coverage to apply. CS&Co. and CSIM are not FDIC-insured banks and deposit insurance covers the failure of an insured bank. Non-deposit products are not insured by the FDIC, are not deposits, and may lose value. The higher the Cash Allocation and the lower the interest rate paid to clients, the more Schwab Bank earns. A lower interest rate means a lower yield on the Cash Allocation. This is a conflict of interest, and the written parameters for the Program does not mitigate this conflict. Outside of the Program, clients have access to cash alternatives that pay a higher yield, although they may not have FDIC insurance.

Net interest revenue is a major source of revenue for Schwab Bank, including with respect to the Program. Schwab Bank's net interest revenue is generated by the difference between the interest rate that it can earn extending loans and purchasing investment securities, and the interest rate it pays to clients on their Sweep Program deposits. The difference between the rates earned and paid is the "spread." Generally, an increase in market interest rates will mean that the Program earns more revenue for Schwab Bank because the spread will increase.

Updated information is available at **schwab.com/legal/sip-sweep-current-interest-rates**. In general, Schwab Bank would receive more revenue on a Cash Allocation above 10% (as part of a more conservative investment portfolio allocation) and less revenue on a Cash Allocation below 10% (as part of a more aggressive investment portfolio allocation). Historically, the spread has increased when market interest rates have risen. For more information on how the Sweep Program works, including how to determine current interest rates on the Cash Allocation, please see the "Schwab Intelligent Portfolios Sweep Program" section.

Because CS&Co. and CSIM are affiliated companies, CS&Co. has an incentive to select and keep CSIM to provide portfolio management services for the SIP Program. Similarly, CSIM has a conflict of interest in selecting Schwab ETFs, which pay compensation to CSIM. CS&Co. has a conflict in that it has instructed CSIM to select or retain Schwab ETFs™ in the portfolios, but only if Schwab ETFs meet all the criteria noted in the "Selection of ETFs" section. CSIM also has a conflict of interest because it selects ETFs that it holds in other client accounts CSIM manages in other CS&Co. programs and certain Schwab Funds.

Certain asset classes in SIP Accounts include both market-cap and fundamentally weighted ETFs. Market-cap weighted ETFs track indices based on the market capitalization of the index's underlying holdings. Fundamentally weighted ETFs weigh holdings based on fundamental factors like sales, cash flow, dividend distribution, and buybacks. SIP Accounts are invested in both market-cap weighted and fundamentally weighted ETFs with the goal of helping to increase diversification, reduce volatility, and provide better risk-adjusted results over time. Typically, fundamentally weighted ETFs have a higher expense ratio than market-cap weighted ETFs. The current method CSIM uses to select fundamentally weighted ETFs is based on asset classification by a third-party provider and, in combination with the selection criteria described above, results in Schwab ETFs being the primary ETF selection for fundamental asset classes in portfolios in the Program.

In connection with ETF selection in the Program, CS&Co.'s written parameters do not allow CSIM to consider compensation to CS&Co. or other affiliates other than as described in the "Selection of ETFs" section. CSIM must also follow these written criteria in selecting securities for, and removing securities from, Program portfolios. CS&Co. reviews CSIM's performance in providing portfolio management services to SIP Accounts. For more information regarding how ETFs are selected for inclusion in portfolios and on the fees earned by CS&Co. affiliates on ETFs in client accounts, see the "Selection of ETFs" and "Fees and Compensation" sections.

Clients should carefully consider these conflicts of interest and their impact on portfolio management prior to enrolling in the Program.

Account Requirements and Types of Clients

Not all clients or prospects will be appropriate for the Program. SIP is designed for investors who are seeking portfolio management through an automated investing solution and who are comfortable with a primarily digital experience.

Clients of the Program may include, but are not limited to, individuals, IRAs, and living trusts. Organizations, such as corporations, limited liability companies, and limited partnerships, may also participate in the SIP Program as a client. These types of clients may not have the same client experience as individuals or trust clients. Clients that are government entities or clients that are subject to the Employee Retirement Income Security Act of 1974, as amended ("ERISA"), are not eligible for the Program.

Clients must agree to accept electronic delivery of contracts, disclosure documents, prospectuses, statements, and other materials.

To be initially invested in an investment strategy, clients must meet all requirements of CS&Co. to open an account in the SIP Program and fund with a minimum of $5,000 in each account. There is also a minimum balance requirement to request CSIM employ a tax-loss harvesting strategy, and a minimum balance requirement to maintain a tax-loss harvesting strategy.

Clients have the option to fund Program accounts with securities. Funding an account with a combination of securities that are and are not already included in the client's recommended Program portfolio can cause additional rebalancing transactions in the portfolio. Clients authorize CS&Co. (or CSIM to instruct CS&Co.) to liquidate any securities used to fund Program accounts. Securities may be liquidated at the client's risk and expense and without taking into account the realization of a taxable gain or a loss that may result.

Neither CSIM nor CS&Co. will have responsibility for the performance of those securities pending their liquidation.

Clients may terminate enrollment from the Program at any time pursuant to the terms in the Schwab Intelligent Portfolios Advisory Agreement.

If a client terminates enrollment from the Program, the Sweep Program will no longer apply to the account. That account will have its own sweep feature, which may have terms that are more favorable or less favorable than those of the Sweep Program.

CS&Co. may terminate a client from the Program for failing to fund or maintain their accounts with the minimum, for failure to maintain a valid email address, or for any other reason, at CS&Co.'s sole discretion. CS&Co. also may terminate a client from the Program if the client's requested investment restrictions are deemed to be unreasonable. Depending on the reason for the termination, the client may have the opportunity to resolve the reason for the termination. Upon termination from the Program by either the client or CS&Co., the client's enrollment in the Sweep Program will terminate and the account will no longer be managed.

Retirement Accounts

CS&Co. and its employees and agents (i) have no investment or other discretion with respect to assets covered by the SIP Program; (ii) will perform no discretionary acts with respect to such assets; (iii) will effect only such transactions as instructed by clients; and (iv) will exercise no discretion and provide no advice as to the voting of proxies.

CSIM is the sole fiduciary, as defined under the Internal Revenue Code, in performing investment management services and exercising discretion over the assets managed in any retirement account, subject to such reasonable restrictions as the client may impose.

Portfolio Manager Selection and Evaluation

CS&Co. has selected CSIM to provide portfolio management services for the SIP Program. CS&Co. believes that CSIM possesses the requisite expertise to serve in this capacity. CS&Co. reviews the performance of the investment strategies quarterly through standardized composite performance reporting.

About CSIM

CSIM is an affiliate of CS&Co. and provides portfolio management services for SIP Program Accounts. CSIM also acts as the investment manager for certain strategies in the Schwab Managed Account Services™ Wrap Fee Program, the Schwab Managed Portfolios™ Wrap Fee Program, and the Schwab Funds® and Schwab ETFs™. CSIM has a conflict of interest in managing different strategies that use or consider the use of the same securities. See CSIM's Disclosure Brochure.

SIP Program Selection and Evaluation

The SIP Program includes CS&Co.-established parameters and the selection of CSIM to provide portfolio management in SIP Accounts. CS&Co. reviews the performance of CSIM on a periodic basis.

Performance-Based Fees

CS&Co. does not receive performance-based fees in connection with referrals to the Program.

Side-by-Side Management

Not applicable. CS&Co. does not manage or recommend strategies in the Program.

Methods of Analysis, Investment Strategies, and Risk of Loss

Using asset allocations and ETF selection parameters determined by CS&Co., CSIM has created a number of investment strategies for the Program. The investment strategies consist of diversified portfolios of ETFs combined with the Schwab Intelligent Portfolios Sweep Program ("Sweep Program"), which automatically deposits, or "sweeps," free credit balances to deposit accounts at Schwab Bank, an affiliate of CS&Co. and CSIM. Each investment strategy is designed to be consistent with a certain combination of investment objectives and risk tolerance. Certain

investment strategies are intended for taxable accounts and others for tax-deferred accounts such as Individual Retirement Accounts (IRAs). Certain investment strategies focus on higher yielding (i.e., interest and dividend) asset classes. Additional investment strategies or modifications to the parameters of existing strategies may occur at any time without prior notice to clients. Not all investment strategies will be appropriate for or available to all clients.

Investing in securities, whether through the Program or otherwise, involves the risk of loss that clients should be prepared to bear. The specific risks associated with the ETFs comprising the portfolios, as well as the risks associated with securities held in those ETFs, are described in detail in the CSIM Disclosure Brochure. The Rebalancing Algorithms work to maintain asset class diversification for each portfolio within defined parameters and subject to the limitations described in this disclosure brochure.

There are limitations inherent in the use of Rebalancing Algorithms to manage accounts; for instance, the Rebalancing Algorithms are designed to manage accounts according to the asset allocation selected for that account and are not designed to actively manage asset allocations based on short-term market fluctuations. The Rebalancing Algorithms are also not designed to consider certain factors such as short-term asset class volatility or individual tax circumstances such as capital gains taxes. Investment advisory personnel of CSIM oversee the Rebalancing Algorithms but do not personally or directly monitor each individual account.

There is a risk that the Rebalancing Algorithms and related software used for strategy selection, tax-loss harvesting and rebalancing, and related functions may not perform within intended parameters, which may result in a recommendation of a portfolio that may be more aggressive or conservative than necessary, and trigger or fail to initiate rebalancing and/or tax-loss harvesting trading.

The Rebalancing Algorithms interact with each other and follow relative prioritization. For instance, if an account is due for a planned withdrawal, the withdrawal will take precedence over any wash sales that the Rebalancing Algorithms may attempt to avoid. This means that if there is a planned withdrawal for the account, there will be a sale of securities as needed to fund the withdrawal even if this results in a wash sale.

Cybersecurity Risk
Financial companies rely on the internet, mobile apps, and cloud technology to provide services. Because of this, they can be targets of cyber attacks. These attacks may be carried out by criminals, hackers, activist groups, or even foreign governments. Attacks can include things like viruses, ransomware, phishing attempts, or attempts to overload systems.

If a cyber attack happens, it could lead to:

- Unauthorized access to your personal or financial information;
- Loss, misuse, or change of your data;
- Someone taking over your account;
- Temporary loss of access to services.

CS&Co. uses a variety of security tools and works with outside experts to help protect systems and client information. However, no system is completely guaranteed to stop all cyber attacks because the methods used by attackers change often and can be hard to detect.

A serious cybersecurity event could interrupt or delay CS&Co.'s ability to provide advisory services to your account(s). If this happens, CS&Co. will work to fix the problem and restore services as quickly as possible.

Artificial Intelligence Technology Risks
CS&Co. uses artificial intelligence ("AI"), such as machine learning and natural language tools, to support parts of our business. AI systems can be complex and may rely on data or models from CS&Co. or from third parties. Some of these systems operate outside of CS&Co.'s direct control, which means they can sometimes produce information that is inaccurate, incomplete, biased, or temporarily unavailable.

Using AI also creates risks related to cybersecurity, data privacy, system reliability, and potential interruptions to our operations. Laws and regulations about AI are rapidly evolving, which may require CS&Co. to update how these tools are used and could increase costs or cause temporary business disruptions. CS&Co. uses controls, reviews, and human oversight to reduce these risks, but no measure can eliminate them completely.

System Outages Risks
The technology used to manage and access your investments may sometimes stop working or experience errors. System outages can happen for many reasons, such as software bugs, power failures, heavy system use, problems with third party providers, or unexpected events like severe weather, natural disasters, or cyber attacks.

If a system outage occurs, it may:

- Limit or delay your ability to view or trade investments;
- Affect CS&Co.'s ability to manage your account or provide advisory services or service your account(s); and
- Take time to fully fix, depending on the cause.

Although CS&Co. works to protect its systems and keep technology running smoothly, no system is completely free from risk.

Selection of ETFs
The written parameters established by CS&Co. place limitations on the universe of ETFs that CSIM may select for the portfolios.

CS&Co. has ETF selection parameters designed to support its philosophy of low-cost and index-based investing. In support of providing broadly diversified and risk-adjusted portfolios, eligible ETFs must represent well a particular asset class in the portfolio, meet sufficient liquidity standards, and be among the lowest cost (in terms of its operating expense or "OER") in their asset class or category. When it comes to replacing an ETF, CSIM also considers the potential impact to clients, such as additional trading costs or other costs.

Eligible ETFs include Schwab ETFs™, which are managed by CSIM. CS&Co. has instructed CSIM to select or retain Schwab ETFs in the portfolios as long as CSIM determines that they satisfy the above factors.

CSIM will generally select both a primary and secondary ETF for each asset class in consideration of, among other things, tax-loss harvesting and requested investment restrictions. In limited circumstances, as determined by CSIM, only one ETF may be used in certain asset classes. In such cases, the tax-loss harvesting feature would not be available for execution in the affected asset class(es). To be eligible for consideration, ETFs designated as the primary ETF in an asset class are targeted to have a share price less than a cap that is necessary to enable trading in smaller balance accounts.

Schwab ETFs pay fees to CSIM that are described in "Participation or Interest in Client Transactions" below.

Rebalancing
The Rebalancing Algorithms are designed to conduct a daily review of client accounts for rebalancing opportunities. If the allocation of the ETFs in a client's account deviates by more than an amount specified in CS&Co.'s parameters from the recommended asset allocation due to changes in ETF values, the Rebalancing Algorithms will initiate a rebalancing trade order unless CSIM exercises discretion to not do so for reasons such as market volatility or under certain circumstances such as those described below for tax loss harvesting and wash sale avoidance. Program trades are sent to CSIM for review prior to being routed for execution. The Rebalancing Algorithms may also trigger rebalancing in cases when a client makes changes to their investment profile, when a client requests to impose or modify restrictions on the management of their account, or when a deposit or withdrawal is made. Accounts are rebalanced by buying and selling ETF shares and depositing or withdrawing funds through the Sweep Program. Program monitoring and trading are subject to systems and technology constraints and availability, and while unlikely, may not take place daily.

Accounts below $5,000 may deviate further than the amount specified by CS&Co.'s rebalancing parameters; they may also deviate from the target allocation of the selected investment profile. Rebalancing below $5,000 may impact the ability to maintain positions in selected asset classes due to the inability to buy or sell at least one share of an ETF. For example, withdrawal requests may require entire asset classes to be liquidated to generate and disburse the requested cash.

Wash Sale Avoidance
A wash sale is the sale at a loss of a security (such as an ETF) and the purchase of the same or a substantially similar security within 30 calendar days either before or after that sale. If a wash sale occurs, the IRS may disallow or defer the loss for current tax reporting purposes. In an effort to avoid wash sales, in certain circumstances, the Rebalancing Algorithms will prevent rebalancing and tax loss harvesting transactions from occurring. In those cases, the Rebalancing Algorithms could be unable to rebalance towards the target allocation for 30 or more days, which can impact performance. This can also result in not utilizing all tax loss harvesting opportunities.

CSIM will seek to avoid wash sales in any SIP Account(s) associated with the same primary account holder (with the exception of certain types of accounts, including custodial, trust accounts, and minor inherited IRAs). If CSIM is monitoring multiple accounts to avoid the wash sale disallowance rule, the first taxable account to sell an ETF at a loss will block the other account(s) from buying in that same ETF for 30 days. Similarly, the first account to buy an ETF will block the other taxable accounts from selling that same ETF at a loss for 30 days.

Although the Rebalancing Algorithms seek to avoid wash sales, they are not designed to and cannot avoid all wash sales.

For instance, in the event that securities need to be sold in order to enable withdrawals, those sales will take place even if they could result in wash sales. If a client sells ETF shares at a loss and uses the proceeds to fund their Program account or other account, CSIM may purchase the same ETF shares for their Program account within 30 days, thereby creating a wash sale. CSIM only monitors for wash sale avoidance for accounts enrolled in the Program, and clients are responsible for monitoring their and their spouse's other accounts (at CS&Co. or with another firm) to ensure that transactions in the same ETF or a substantially similar security do not create a wash sale.

"Tax-Loss Harvesting" Feature
Clients may request CS&Co. (and CSIM through CS&Co.) to employ a tax-loss harvesting strategy with any taxable account; however, the account must meet the minimum balance requirement of $50,000 for the tax-loss harvesting strategy to become active on the account. There is also a lower minimum balance requirement to maintain a tax-loss harvesting strategy; for any accounts falling below this minimum balance, the tax-loss harvesting strategy will become inactive until such time as the minimum balance requirement is met. These minimums are designed to limit, but cannot always prevent, scenarios where tax-loss harvesting sales are made and a single share of the replacement ETF is too expensive to purchase. As a result, a portion of the proceeds from the sale of the ETF could remain in cash, rather than being used to purchase a replacement ETF.

The Rebalancing Algorithms are designed to conduct a daily review of client accounts for tax-loss harvesting opportunities. When the tax-loss harvesting threshold is met, the Rebalancing Algorithms are designed to initiate a tax-loss harvesting trade order for accounts in the Program unless there are currently restrictions within the asset class, such as to avoid wash sales. During this process, certain ETFs in the client's account are sold at a loss to offset potential capital gains (although CSIM does not monitor the type and amount of capital gains). If the tax-loss harvesting sale causes the asset class to become underweight, the Rebalancing Algorithms can recommend a buy order to replace the ETFs sold for tax-loss harvesting purposes with the ETF(s) that CSIM reasonably believes are not substantially similar based upon different ETF indices used by each ETF.

When CSIM sells an ETF to harvest a tax loss and purchases another ETF to replace it, CSIM will generally be unable to sell the replacement ETF for 30 days if it contains lots held at a loss, even if it could sell other lots in the same position at a gain and not cause a wash sale. If an account needs to be rebalanced in that 30-day period, CSIM will generally not be able to sell the replacement ETF as part of that rebalancing if it contains lots held at a loss. As a result, the account may not be allocated according to the chosen investment strategy until the 30-day period has expired, which could affect its performance.

If a client has two or more Program accounts that are being monitored together to avoid the wash sale disallowance rule, and the accounts hold different ETFs in the same asset class, if the Rebalancing Algorithms recommend selling ETFs in that asset class to harvest tax losses, the Rebalancing Algorithms will choose to do so in the earliest-enrolled account and skip the other account(s), and therefore do not prioritize selling the ETF that will generate the greatest tax loss.

The performance of the replacement ETFs may be better or worse than the performance of the ETFs that are sold for tax-loss harvesting purposes. The utilization of losses harvested through tax loss harvesting will depend upon the recognition of capital gains in the same or a future tax period, and in addition may be subject to limitations under applicable tax laws.

The effectiveness of the tax-loss harvesting strategy to reduce the tax liability of the client will depend on the client's entire tax and investment profile, including purchases and dispositions in a client's (or client's spouse's) accounts outside of the Program and type of investments (e.g., taxable or non-taxable) or holding period (e.g., short-term or long-term). The tax-loss harvesting strategy is not designed to ensure that it will reduce, defer, or eliminate the tax liability generated by a client's investment portfolio in any given tax year. The Rebalancing Algorithms only monitor accounts enrolled in the Program to determine if there are unrealized losses for purposes of determining whether to harvest such losses. Transactions in accounts not enrolled in the Program may affect whether a loss is successfully harvested and, if so, whether that loss is usable by the client in the most efficient manner.

Clients should consult with their professional tax advisors or check the Internal Revenue Service ("IRS") website at **www.irs.gov** about the consequences of tax-loss harvesting in light of their particular circumstances and its impact on their tax return. Neither the tax-loss harvesting strategy for the Program, nor any discussion herein, is intended as tax advice, and neither CS&Co. nor CSIM represents that any particular tax consequences will be obtained.

Schwab Intelligent Portfolios® Sweep Program

Each investment strategy involves the Cash Allocation to the Sweep Program. The Cash Allocation will generally range from 6% to 30% of an account's value to be held in cash, depending on the investment strategy the client selects based on the client's risk tolerance and time horizon.

The Cash Allocation will be accomplished through enrollment in the Sweep Program, a program sponsored by CS&Co. By enrolling accounts in SIP, clients consent to having the free credit balances in their brokerage accounts swept to deposit accounts ("Deposit Accounts") at Schwab Bank through the Sweep Program. Schwab Bank is an FDIC-insured depository institution affiliated with CS&Co. and CSIM. Certain conditions must be satisfied for FDIC insurance coverage to apply. CS&Co. and CSIM are not FDIC-insured banks and deposit insurance covers the failure of an insured bank. Non-deposit products are not insured by the FDIC, are not deposits and may lose value.

The Sweep Program is a required feature of the Program. If the cash balances exceed the Cash Allocation for the selected investment strategy, the excess over the rebalancing parameter will be used to purchase securities as part of rebalancing. If clients request cash withdrawals from their accounts, this likely will require the sale of ETF positions in their accounts to bring their Cash Allocation in line with the allocation for their chosen investment strategy. If those clients have taxable accounts, those sales may generate capital gains (or losses) for tax purposes.

The terms and conditions of the Sweep Program and CS&Co.'s ability to make changes to the Sweep Program or move balances to a new sweep product are set forth in the Schwab Intelligent Portfolios Sweep Program Disclosure Statement that is made available to clients when they open their accounts. Clients should read this document carefully and retain a copy for their records. Clients grant to CS&Co. the authority to change the cash investment allocation from the Sweep Program to another cash savings or investment product or vehicle offered by CS&Co., an affiliate, or a third party.

In accordance with an agreement with CS&Co., beginning June 1, 2022, Schwab Bank has agreed to pay an interest rate on cash balances in the Sweep Program which will be set monthly to be equal to the seven-day yield (with waivers) for Schwab Government Money Fund – Sweep Shares (symbol: SWGXX). This interest rate as well as the method used to determine it are both subject to change. The current rate for cash in your account and additional information can be found at **schwab.com/legal/sip-sweep-current-interest-rates**.

Under the agreement between CS&Co. and Schwab Bank, Schwab Bank may change the method of determining the interest rate upon notice to CS&Co. or upon a regulatory requirement. CS&Co. will notify clients if it receives such notice from Schwab Bank. The rate may be higher or lower than the interest rates available on other deposit accounts at Schwab Bank or on comparable deposit accounts at other banks. It may also be higher or lower than other cash-equivalent investments, such as money market funds, that are available through CS&Co.

Schwab Bank's revenue from the Cash Allocation in the Deposit Accounts is dependent upon the difference, or "spread," between the interest rate Schwab Bank pays to clients on such deposits and the amount it can earn from the extension of loans and the purchasing of investment securities with these deposits. Therefore, Schwab Bank's ability to earn revenue from the Deposit Accounts is affected by the interest rate negotiated with its affiliated broker-dealer, CS&Co. This revenue is a component of the overall revenue to Schwab Bank and its affiliates in connection with the Program. Funds in the Deposit Accounts can also benefit Schwab Bank by providing it with increased liquidity, stable funding, and low cost deposits. Schwab Bank intends to use the assets in the Deposit Accounts to fund current and new lending activities and investments.

A portion of the revenue contributed to the CS&Co. entities from the Program is the revenue earned by Schwab Bank in offering the Deposit Accounts. Schwab Bank will pay CS&Co. a fee for administrative services provided in support of the Deposit Accounts as disclosed in the Schwab Intelligent Portfolios Sweep Program Disclosure Statement and below in "Participation or Interest in Client Transactions."

Funds Awaiting Investment or Pending Distribution

When you are waiting for cash to be deposited or invested in, or distributed from, your account, CS&Co. earns interest on that cash prior to such deposit, investment, or distribution. This occurs with (1) funds waiting to be credited to your investment account; or (2) funds that have been debited from your account and are pending receipt by the receiving party or institution. Such interest retained by CS&Co. shall generally be at money market rates and for periods of time described in the paragraphs immediately below.

Funds awaiting investment or deposit include: (1) amounts deposited by you into your account; and (2) any other Free Credit Balance held by your account (which will, after the period described below, automatically be swept into a Schwab® Sweep Money Fund or deposited into a Sweep Bank).

With respect to such funds awaiting investment or deposit:

1. where such funds are received by CS&Co. on a business day and before deposit cutoff time for which the funds are deposited, such interest will be earned by CS&Co. through the beginning of the following business day;

2. where such funds are received on a day which is not a business day, or where such funds are received after the deposit cutoff time, such interest will be earned through the beginning of the second following business day.

When CS&Co. receives a request for a distribution check from your account, CS&Co. generally processes the request within two or three Business Days (unless the distribution is in connection with an unusual event such as death or divorce, in which case it generally will take longer to process the request). On the same day that the processing is completed, the amount of the distribution check will be debited from your account. The distribution check will be written and mailed on the following business day.

CS&Co. will earn interest beginning on the date your account is debited and ending on the date the check is presented for payment, the timing of which is beyond the control of CS&Co. Upon request, CS&Co. will provide you a verbal update to determine the status of your outstanding distribution checks.

If you request a Schwab MoneyLink® transfer from your account to another financial institution:

1. the amount of the transfer will be debited from your account on the day that the transfer process is commenced;
2. the funds will be received by the other financial institution within one to two Business Days of the date the transfer process is commenced; and
3. you agree and acknowledge that CS&Co. will earn interest on that amount beginning on the date your account is debited and ending on the date the Electronic Fund Transfer is received by the other financial institution and thereby debited from CS&Co.'s bank account.

Voting Client Securities

CS&Co. does not have or accept authority to vote clients' securities (i.e., proxy voting) in the Program. CSIM coordinates proxy voting in the Program.

Client Information Provided to Portfolio Manager

At the time a client enrolls in the Program, CS&Co. provides CSIM with information about that client's chosen investment strategy and any reasonable restrictions applicable to the client's Program account. CS&Co. provides updated information to CSIM as necessary thereafter in order for CSIM to provide portfolio management services under the Program.

Client Contact With Portfolio Manager

SIP clients who wish to contact CSIM can do so by making a request to a CS&Co. representative. CS&Co. and its representatives are the primary points of contact for clients in the Program.

Additional Information

Disciplinary Information

The SEC and other regulatory agencies and organizations have taken certain disciplinary actions against CS&Co. for violations of investment-related statutes, regulations, and rules. The parties settled these matters and CS&Co. paid fines with respect to certain violations.

1. In June 2022, CS&Co. and its former affiliate Charles Schwab Investment Advisory, Inc. settled a matter with the U.S. SEC related to historical disclosures and marketing of the Schwab Intelligent Portfolios® advisory program ("SIP Program").

   The SEC found that CS&Co., along with its former affiliate, Schwab Wealth Investment Advisory, Inc., violated certain provisions of the Advisers Act, and the rules thereunder, from March 2015 through November 2018. The SEC found that CS&Co. made false and misleading statements in Form ADV Part 2A brochures about the cash allocations in Schwab Intelligent Portfolios accounts, in particular about:

   - CS&Co.'s conflict of interest in setting the cash allocations;
   - the influence of this conflict of interest on the size of the cash allocations; and
   - the negative effect of the cash allocations on performance in Schwab Intelligent Portfolios accounts under market conditions where other assets such as equities outperform cash.

   The SEC also found that CS&Co. failed to sufficiently implement compliance policies designed to prevent the publication of misleading statements. Finally, the SEC found that CS&Co. made similarly misleading statements in advertisements for the Schwab Intelligent Portfolios.

   Without admitting or denying these findings, CS&Co. agreed to pay a total of $186,536,861 in disgorgement, pre-judgment interest, and civil penalties. CS&Co. also agreed to engage an independent consultant to:

   - review CS&Co.'s supervisory, compliance, and other policies and procedures designed to ensure that CS&Co.'s SIP Program-related disclosures, advertising, and marketing communications comply with the requirements of the Advisers Act, and the rules thereunder, and with other applicable federal securities laws with respect to the SIP Program; and
   - submit a report to both CS&Co. and the SEC describing the independent consultant's findings and making recommendations. CS&Co. was required to adopt and implement the independent consultant's final recommendations.

Other Financial Industry Activities and Affiliations

CS&Co. holds dual registrations to act as both a broker-dealer and a registered investment adviser.

CS&Co. is registered as a broker-dealer under the Securities Exchange Act of 1934 and is a member of FINRA and SIPC. We provide brokerage services to clients located throughout the United States and, in some circumstances, outside the United States. Incidental to our broker-dealer business, we offer our clients a variety of investment information services and products, including seminars, periodicals, reports, guides, planning tools, brochures, and other publications about securities and investment techniques and insurance. We also provide certain online data and financial reporting services.

CS&Co. is also registered as an investment adviser under the Advisers Act. In addition to sponsoring the Schwab Intelligent Portfolios™, CS&Co. also acts as a registered investment adviser for other programs, including:

- Managed Account Connection® ("Connection");

- Managed Account Select®;
- Schwab Managed Portfolios™ (SMP);
- Schwab Wealth Advisory™ (investment advisory and brokerage services);
- Schwab Advisor Network® (a referral program of investment advisors to investors who are looking for assistance in managing their assets and/or other financial planning activities. Advisors participating in Schwab Advisor Network are independent and not affiliated with CS&Co. Investment advisors pay a fee to participate in the Schwab Advisor Network program),
- Retirement Plan Services—Morningstar Investment Management LLC;
- Schwab Managed Account Services™—for clients of independent investment advisors; and
- Model Market Center™ (a web-based offering available to independent investment advisors that custody assets at Charles Schwab & Co., Inc. and use the iRebal® platform [a technology offering that is administrative in nature] available on Schwab Advisor Center® for account rebalancing and trading).

CS&Co. Affiliates

CS&Co. is a wholly owned subsidiary of CSC.

Other wholly owned subsidiaries of CSC are engaged in investment advisory, brokerage, trust, custody, or banking services.

CSIM is an affiliate of CS&Co. that we describe under the heading "About CSIM" above. In addition to managing certain strategies in the Connection wrap fee program, CSIM also manages the SMP wrap fee program and provides advisory and administrative services to certain CS&Co. affiliated funds marketed under the Schwab Funds® and Schwab ETFs™ names.

Schwab Wealth Advisory, Inc. is a registered investment adviser whose representatives offer periodic non-discretionary investment advice in Schwab Wealth Advisory, a fee-based program sponsored by CS&Co. The Schwab Wealth Advisory program also includes advice on the use of Schwab Wealth Portfolios managed by CSIM and is available only to Schwab Wealth Advisory program clients. Schwab Wealth Advisory, Inc. representatives may also make recommendations on other discretionary separately managed accounts offered through other CS&Co. managed account programs.

Charles Schwab SG Pte. Ltd. enables accredited investors in Singapore to trade in the U.S. markets. Charles Schwab U.K. Limited and Charles Schwab Hong Kong, Limited enable retail investors in the United Kingdom and Hong Kong, respectively, to trade in the U.S. markets.

CSC provides services to retirement and other employee benefit plans and participants through its subsidiaries: CS&Co., Charles Schwab Bank, SSB and Charles Schwab Premier Bank, SSB; Charles Schwab Trust Bank; and Schwab Retirement Plan Services, Inc.

Charles Schwab Trust Bank, Charles Schwab Trust Company and Charles Schwab Trust Company of Delaware offer trust and custody products and services.

Charles Schwab Futures and Forex LLC is a Commodities Futures Trading Commission-registered futures commission merchant, a member of the Municipal Securities Rulemaking Board and National Future Association forex dealer member, and offers futures and forex trading to qualified clients.

Charles Schwab Bank, SSB, Member FDIC and Equal Housing Lender is a subsidiary of CSC that offers deposit and lending products to both Schwab brokerage clients and other clients who have no relationship with CS&Co.

Code of Ethics, Participation or Interest in Client Transactions, and Personal Trading

Code of Ethics

CS&Co. has adopted a code of ethics pursuant to SEC Rule 204A-1 under the Advisers Act (the "Code"). The Code reflects the fiduciary principles that govern the conduct of CS&Co. employees or associated persons when CS&Co. acts as an investment adviser as defined under the Advisers Act. The Code requires that CS&Co.'s covered representatives comply with applicable federal securities laws, report violations of the Code, and for those deemed "access persons" by virtue of providing investment advice or having access to certain related information, report their personal transactions and holdings in certain securities periodically. The Code prohibits access persons from disclosing portfolio transactions or any other non-public information to anyone outside of CS&Co., except as required to effect securities transactions for clients, or from using the information for personal profit or to cause others to profit. Access persons are also prohibited from engaging in deceptive conduct in connection with the purchase or sale of securities for client accounts. The Code is subject to change as necessary to remain current with regulatory requirements and internal business policies and procedures. A copy of the Code is available upon request.

Participation or Interest in Client Transactions

Order Routing and Trade Execution

In arranging for the execution of non-directed orders for equities and listed options, CS&Co. seeks out industry-leading execution services and access to the best-performing markets. CS&Co. routes orders for execution to unaffiliated broker-dealers, who may act as market maker or manage execution of the orders in other market venues, and also routes orders directly to major exchanges.

CS&Co. considers a number of factors in evaluating execution quality of market venues, third-party algorithms, and trading counterparties, including execution price relative to benchmark and opportunities for price improvement, market depth and order size, speed and accuracy of executions, the availability of efficient and reliable order-handling systems, liquidity and automatic execution guarantees, the likelihood of execution when limit orders become marketable, and service levels and the cost of executing orders at a particular market or firm. Price improvement occurs when an order is executed at a price more favorable than the displayed national best bid or offer. CS&Co. regularly monitors the execution quality obtained to ensure orders are routed to market venues that have provided high-quality executions over time.

CS&Co. does not act as principal for equity securities in the Program except in limited circumstances such as when executing certain fractional share trades. Fractional shares cannot be sold directly into the market or transferred via an automatic clearinghouse. As an accommodation,

CS&Co. will facilitate the sale of certain fractional shares of equity securities by purchasing shares from you on a principal basis, which may not be at the best price available in the market.

Acting as principal on a trade is a conflict of interest because CS&Co. is on the other side of the transaction from the customer. CS&Co. does not charge additional fees on fractional share trades.

CS&Co. receives payments, such as liquidity or order flow rebates, from market venues to which orders are routed, and also pays fees for execution of certain orders. Quarterly information regarding the market venues to which we route orders and payments received is available on our website at **schwab.com/legal/order-routing-1** or in written form upon request. Information regarding the specific routing destination and execution time of your orders for up to a six-month period is also available upon request.

ETFs

The ETFs that are eligible for inclusion in the Program are described above under "Selection of ETFs."

Each ETF pays investment advisory, administrative, distribution, transfer agent, custodial, legal, audit, and other customary fees and expenses, as set forth in the ETF prospectus. An ETF pays these fees and expenses, which ultimately are borne by its shareholders. Therefore, CSIM will earn fees from Schwab ETFs that are held in SIP Accounts.

Some third-party ETF sponsors or their affiliates make payments to CS&Co. for ETF-related opportunities, including education and events and data and reporting. Certain ETF sponsors pay CS&Co. up to $4,000,000 annually for access to data and reports. The total amount of the fee paid by each ETF firm for education and events will vary depending on the type and number of opportunities in which the ETF firm participates.

CS&Co.'s affiliate CSIM serves as investment adviser to the Schwab ETFs™ and receives a fee for its services from the Schwab ETFs. The amount of the fees is disclosed in the prospectus of each ETF. CS&Co. may receive additional payments from CSIM for educational support, data and reporting, and other services.

Personal Trading

CS&Co. monitors the personal securities holdings and trading of representatives. CS&Co. reviews accounts of its representatives custodied at CS&Co. and applicable accounts custodied at other firms. The surveillance program monitors holdings and trades against the Code, CS&Co.'s Compliance Manual, and other applicable policies. Additionally, representatives must disclose all securities accounts they own or control after their hire date, and review and confirm the accuracy of those accounts on a regular basis.

Representatives are prohibited from engaging in activities that violate federal or state securities laws, or rules and regulations of the exchanges or regulatory agencies. These prohibitions include rules against (1) frontrunning customer orders; (2) passing such information to others for that purpose, which means misusing confidential customer trade information for possible personal benefit; and (3) purchasing shares in initial public offerings.

Review of Accounts

If you enroll in the SIP Program, you will open a CS&Co. brokerage account, and we will furnish you with account statements and electronic confirmations of all transactions initiated and effected for your account. You will also receive quarterly account statements detailing positions and activity in all your accounts enrolled in the Program. The statement includes a summary of all securities purchases and sales, interest, dividends and other earnings, all contributions and withdrawals, fees and other charges, and the account value. The statement may be based upon information obtained from third parties. It is your responsibility to review all confirmations and account statements promptly and to communicate directly with us if you have any concerns about the management of your account.

In the SIP Program, CS&Co. will contact clients at least once a year via electronic channels to ask them to update their information on the Website if there have been any material changes. Clients who have experienced material changes to their goals, financial circumstances, or investment objectives, or who wish to impose or modify restrictions on the management of their Program accounts, should promptly update their information on the Website. CS&Co. will not change a client's portfolio selection unless the client updates their investment profile through the Website.

Client Referrals and Other Compensation

CS&Co. employee FCs and other employees, as well as IBLs and IB Representatives, receive compensation from CS&Co. as explained in the "Fees and Compensation" section. CS&Co. has entered into an agreement (the "Referral Agreement") with USAA Investment Services Company ("USAA ISCO") under which CS&Co. will pay USAA ISCO based on a percentage of the assets in CS&Co. accounts attributable to a referral by USAA ISCO, including assets in accounts enrolled in the Program. Under the Referral Agreement, CS&Co. will pay USAA ISCO an annual percentage amount of 0.15% (or 15 basis points) of asset balances of applicable accounts.

Financial Information

CS&Co. does not require or solicit prepayment of any fee and is therefore not required to include a balance sheet for its most recent fiscal year. CS&Co. is not the subject of any financial condition that is reasonably likely to impair its ability to meet its contractual obligations to its clients. CS&Co. is not the subject of any bankruptcy petition, nor has it been the subject of any bankruptcy petition at any time during the past 10 years.



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